



PRAYAAN CAPITAL

POLICY ON PENAL CHARGES

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Prayaan Capital Private Limited

(Prepared in alignment with Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025, as amended from time to time)

Version Control

Version	Date	Reviewed By	Approved By	Remarks
V2.0	26.05.2026	Compliance / Legal / Risk	Board of Directors	Aligned with regulatory requirements

1. Introduction

Prayaan Capital Private Limited (“Company”), being a regulated Non-Banking Financial Company (“NBFC”), extends various credit facilities to eligible borrowers across approved product categories.

The Reserve Bank of India (“RBI”), vide its circular on Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025, and subsequent clarifications, has mandated that all Regulated Entities formulate and implement a Board-approved policy governing levy of penal charges for non-compliance with material terms and conditions of loan agreements.

Accordingly, this Policy has been framed to ensure that penal charges levied by the Company are:

- Fair and transparent;
 - Reasonable and proportionate;
 - Non-discriminatory;
 - Non-usurious;
 - Deterrent in nature only;
 - Not used as a revenue enhancement mechanism; and
 - Fully compliant with applicable RBI regulations and Fair Practices Code.
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2. Objective

The objective of this Policy is to:

- Establish a standardized framework for levy of penal charges on borrowers for non-compliance with material loan terms;

- Ensure transparency in customer communication;
 - Prevent capitalization of penal charges;
 - Align internal processes with RBI regulatory expectations;
 - Protect borrower interests while preserving credit discipline; and
 - Define governance, approval, waiver, and review mechanisms.
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3. Scope

This Policy shall apply to all loan products offered by the Company, including but not limited to:

- MSME Loans
- Microfinance Loans (MFI)
- Loan Against Property (LAP)
- Secured Business Loans
- Retail Secured Loans
- Any other credit products introduced by the Company from time to time

This Policy shall cover:

- Fresh loans and advances sanctioned or renewed on or after **April 1, 2024**;
 - Existing loans at the next review or renewal date falling on or after April 1, 2024, and in any case no later than **June 30, 2024**.
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4. Definitions

4.1 Penal Charges

Charges levied on borrowers for non-compliance with material terms and conditions of the loan agreement or security documents.

4.2 Penal Interest

Any additional interest charged over and above the contracted rate of interest for default or non-compliance.

The Company shall not levy penal interest under any circumstances.

4.3 Material Terms and Conditions

Includes, but is not limited to:

- Delay or default in EMI / instalment payments;
 - Breach of financial covenants;
 - Failure to submit required documentation;
 - Security-related breaches;
 - Non-maintenance of insurance where mandated;
 - Other contractual defaults as specified in loan agreements.
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5. Regulatory Principles Governing Penal Charges

The Company shall ensure the following:

5.1 Nature of Penal Charges

- Penal charges shall only be levied as charges and not as penal interest.
- No additional interest component shall be introduced through penal charges.
- Penal charges shall not be added to principal for the purpose of charging further interest.
- Penal charges shall not be capitalized.

5.2 Reasonableness

- Penal charges shall be reasonable and proportionate to the nature and gravity of default.
- Charges shall be reviewed periodically to ensure fairness and industry comparability.
- Charges shall not be excessive, punitive beyond deterrence, or revenue-maximizing.

5.3 Non-Discrimination

- Penal charges for similar breaches shall be uniformly applied within each product category.
 - Penal charges applicable to individual borrowers for purposes other than business shall not exceed charges applicable to non-individual borrowers for similar breaches.
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6. Disclosure Requirements

The Company shall clearly disclose penal charges in the following:

- Sanction Letter
- Loan Agreement
- Key Fact Statement (KFS)
- Most Important Terms and Conditions (MITC)
- Schedule of Charges
- Company Website under “Interest Rates & Service Charges”

6.1 Communication Requirements

Whenever penal charges are levied, the Company shall communicate to the borrower:

- Nature of default / breach;
- Amount of penal charges levied;
- Date of levy;
- Corrective action required;
- Applicable future implications.

6.2 Change in Penal Charges

Any revision in penal charges shall:

- Be approved as per governance framework;
- Be implemented prospectively only;
- Be adequately communicated to borrowers;
- Be updated across all customer-facing documents.

7. Events Triggering Penal Charges

Penal charges may be levied upon occurrence of events including:

- Delay in EMI / instalment payments;
- Cheque / NACH dishonour;
- Covenant breaches;
- Security documentation deficiencies;
- Non-submission of periodic financial data where required;
- Any material default specified in financing documents.

Detailed product-wise penal charge schedules are provided in **Annexure I**.

8. Quantum of Penal Charges

8.1 Guiding Framework

The Board approves broad ceilings for penal charges. Product-specific charges shall remain within these limits.

8.2 Indicative Charges Matrix

Event	Penal Charges	Applicable Category
EMI / instalment overdue	Up to 3% per month on overdue amount, calculated on daily basis, subject to periodic reasonableness review	All products
Payment instrument dishonour	As per approved service fee schedule	All products
Documentation / covenant breach	As specified in sanction terms	All products

8.3 Review

- Penal charge rates shall be reviewed at least annually.
- Benchmarking against market and regulatory expectations shall be documented.
- Material revisions shall require Board approval.

9. Governance Framework

9.1 Board of Directors

The Board shall:

- Approve this Policy;
- Approve material changes to penal charge methodology;
- Review compliance periodically;
- Ensure customer fairness principles are upheld.

9.2 Management Team

The Management team may:

- Recommend operational refinements;
- Propose product-level structures within Board-approved limits;
- Review implementation effectiveness.

However, the Management team shall not independently revise Board-approved penal charge ceilings or methodology.

9.3 Compliance Function

Compliance shall:

- Monitor adherence to RBI regulations;
- Conduct policy implementation checks;
- Review disclosures;
- Escalate deviations.

9.4 Internal Audit / Risk

Internal Audit and Risk teams shall periodically assess:

- Accuracy of penal charge application;
- Borrower communication standards;
- Exception management;
- Governance adherence.

10. Waiver of Penal Charges

- Any waiver of penal charges shall be exceptional, documented, supported by business rationale, and approved as per delegated authority matrix. Periodic reporting of waivers shall be submitted to management and internal audit.

10.1 Approval Matrix

Waivers may be approved only by authorized personnel such as:

- Managing Director
- Business Head

as per internal delegation framework.

11. Customer Protection Measures

The Company shall administer penal charges in a manner that upholds transparency, fairness, and borrower protection at all times. Penal charges shall not be hidden, misleading, or retrospectively imposed, and borrowers shall be clearly informed of all applicable charges through appropriate customer-facing documents and communications. The Company shall ensure that penal charges are not compounded, capitalized, or used as a mechanism for undue revenue generation. Uniformity and consistency shall be maintained in the treatment of similarly placed borrowers within each product category, thereby preventing arbitrary or discriminatory practices. Further, borrowers shall have access to established grievance redressal mechanisms to raise concerns or disputes related to penal charges, and such complaints shall be handled in accordance with the Company's Fair Practices Code and applicable regulatory standards.

12. Grievance Redressal

Any customer grievance regarding penal charges shall be addressed under the Company's Grievance Redressal Policy and Fair Practices Code.

Borrowers may escalate unresolved complaints through designated escalation channels, including RBI Ombudsman mechanisms where applicable.

13. Review and Amendments

This Policy shall be reviewed:

- At least annually;
- Upon issuance of any RBI circular / amendment;
- Upon material product or operational changes.

Any inconsistency between this Policy and prevailing RBI regulations shall automatically stand modified to the extent of such regulatory change.

14. Effective Date

This Policy shall become effective immediately.

Annexure I – Product-Wise Penal Charges Matrix

(To be separately maintained and updated periodically)

Should include:

- Product category
- Trigger event
- Penal charge amount / rate
- Maximum cap
- Disclosure channel
- Approval authority

Product Category	Trigger event	Penal Charge	Maximum cap
MSME / MFI / Other products	Occurrence of Event of Default as per the Loan Agreement	3% per month of the outstanding EMI(s) calculated on a daily basis for actual number of days delayed	10% of the loan amount

Conclusion

The Company shall administer penal charges in a transparent, proportionate, and borrower-sensitive manner consistent with RBI's Fair Lending objectives.